

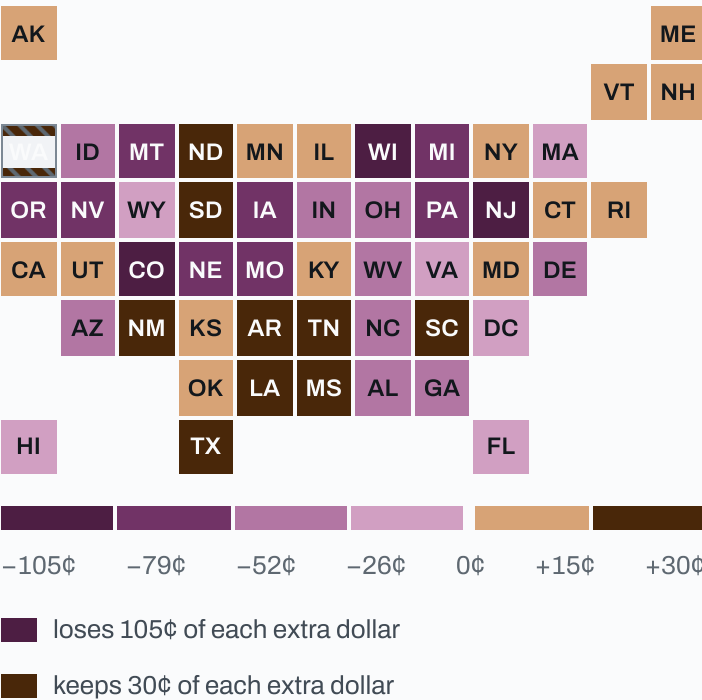
What a raise costs, state by state

Fifty states and the District of Columbia, eleven household shapes, one earnings scale — from \$0 past 400% of the poverty line for that household. Each figure is what one household in that state keeps of each extra dollar it earns on the way from the poverty line to twice it — its *keep rate*. Below zero, the family ends that climb poorer than it started.

A *cliff* is a \$1,000 raise that cuts net income by \$200 or more; a *danger zone* is a run of earnings across which the household never gets ahead. A cliff matters in proportion to how many families stand near it: the largest cliff in a state is usually one few families reach, and the one that hurts is the modest one at the income most families have. The figures come from [PolicyEngine](#), an open-source tax-and-benefit calculator, run by HotGap. Estimates only.

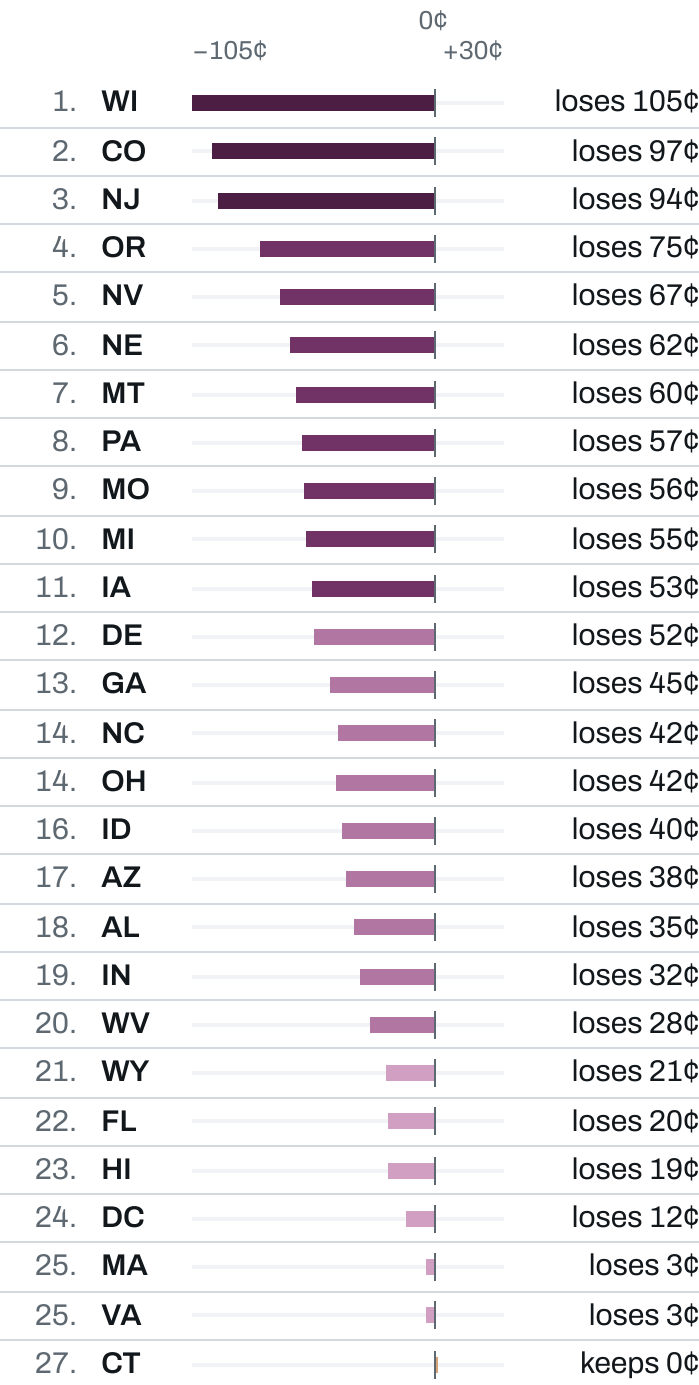
Keep rate on the road out of poverty, by state

1 adult, 2 children (3 and 7), renting in the state's most populous county. Of each extra dollar earned between the poverty line and twice the poverty line, the cents this household keeps once taxes and lost benefits are counted. Below zero it ends up poorer than it started.



HotGap, from PolicyEngine 2026 rules on policyengine-us 2.6.2. Weekly run of Sep 16, 2026. Net income after health-insurance premiums. Estimates only. Bins: four steps of 26¢ below zero and two of 15¢ above it, from -105¢ to +30¢ over the 51 states with a comparable figure.

Ranked



Corrections applied — choose a state

Select a state on the map or in the table to read what HotGap changed on top of PolicyEngine before its figures were read.

28.	IL		keeps 3¢
29.	NY		keeps 4¢
29.	VT		keeps 4¢
31.	RI		keeps 7¢
32.	CA		keeps 9¢
32.	ME		keeps 9¢
32.	MN		keeps 9¢
32.	OK		keeps 9¢
36.	KS		keeps 10¢
37.	AK		keeps 12¢
38.	KY		keeps 13¢
38.	MD		keeps 13¢
38.	UT		keeps 13¢
41.	NH		keeps 14¢
42.	MS		keeps 15¢
43.	SD		keeps 16¢
43.	TX		keeps 16¢
45.	AR		keeps 17¢
46.	LA		keeps 20¢
47.	ND		keeps 21¢
47.	TN		keeps 21¢
49.	WA		keeps 22¢
50.	SC		keeps 24¢
51.	NM		keeps 30¢

Bins are recomputed for every measure — equal-width steps of a dollar measure, classes of whole numbers for a count — so a shade means nothing across two different measures. Read the bin bounds, not the colour.

All 51, every measure

Keep rate on the road out of poverty — Of each extra dollar earned between the poverty line and twice the poverty line, the cents this household keeps once taxes and lost benefits are counted. Below zero it ends up poorer than it started.

Cliffs on the road out of poverty — Steps down of \$200 or more between the poverty line and twice the poverty line.

Where the road collapses — Net income lost in the worst single \$1,000 step between the poverty line and twice the poverty line.

Road's worst step — The \$1,000 step of earnings at which the road's largest single loss lands.

Largest one-step loss — Net income lost in the worst single \$1,000 step of earnings.

Worst step — The \$1,000 step of earnings at which the largest one-step loss lands.

Total width of the danger zones — Earnings spanned by every stretch where more pay leaves the household no better off, all such stretches added together.

The leap — The raise a household must clear in one move to get past its worst danger zone.

Safe exit — Earnings above which no danger zone remains: where the last one closes.

Number of cliffs — Steps down of \$200 or more anywhere on the curve.

Deferred cliffs — Of the cliffs counted, those that land at a later renewal rather than with the raise: Head Start's program-year carry-over, a child's 12 months of continuous Medicaid or CHIP, a parent's Transitional Medical Assistance.

Families earning less — Of families like this one in that state, how many in 100 earn less than the figure beside it. From Census survey data, and cross-sectional: how many families already earn less, never one family's chance of getting there.

Figures — Complete, or the program the model cannot compute in that state, which makes the row's figures floors; and whether HotGap added the child-care subsidy to net income, where PolicyEngine had left it out.

Every measure for 1 adult, 2 children (3 and 7), by state. PolicyEngine 2026 rules, run of Sep 16, 2026.

State	Keep rate	Cliffs on the road	Where the road collapses	Road's worst step	Largest one-step loss	Worst step	Danger zones, total width	The leap	Safe exit	Cliffs	Deferred	Figures
AK	keeps 12¢	2	\$2,636	\$46,000 → \$47,000 37 in 100	\$14,365	\$105,000 → \$106,000 74 in 100	\$75,000	\$45,000	\$136,000 91 in 100	6	0	complete child-care subsidy added by HotGap
AL	loses 35¢	4	\$12,584	\$47,000 → \$48,000 68 in 100	\$12,584	\$47,000 → \$48,000 68 in 100	\$60,000	\$42,000	\$113,000 94 in 100	7	1	complete
AR	keeps 17¢	4	\$2,047	\$34,000 → \$35,000 44 in 100	\$10,226	\$64,000 → \$65,000 82 in 100	\$48,000	\$19,000	\$120,000 95 in 100	7	0	complete

State	Keep rate	Cliffs on the road	Where the road collapses	Road's worst step	Largest one-step loss	Worst step	Danger zones, total width	The leap	Safe exit	Cliffs	Deferred	Figures
GA	loses 45¢	4	\$16,978	\$46,000 → \$47,000 52 in 100	\$16,978	\$46,000 → \$47,000 52 in 100	\$56,000	\$48,000	\$114,000 90 in 100	5	0	complete
HI	loses 19¢	3	\$4,852	\$61,000 → \$62,000 40 in 100	\$7,689	\$95,000 → \$96,000 72 in 100	\$65,000	\$37,000	\$123,000 87 in 100	6	1	complete child-care subsidy added by HotGap
IA	loses 53¢	4	\$16,819	\$43,000 → \$44,000 50 in 100	\$16,819	\$43,000 → \$44,000 50 in 100	\$51,000	\$44,000	\$108,000 91 in 100	6	1	complete child-care subsidy added by HotGap
ID	loses 40¢	5	\$15,624	\$47,000 → \$48,000 48 in 100	\$15,624	\$47,000 → \$48,000 48 in 100	\$50,000	\$34,000	\$109,000 93 in 100	6	1	complete
IL	keeps 3¢	4	\$2,789	\$43,000 → \$44,000 50 in 100	\$17,288	\$61,000 → \$62,000 68 in 100	\$64,000	\$32,000	\$110,000 89 in 100	8	1	complete child-care subsidy added by HotGap
IN	loses 32¢	7	\$6,951	\$36,000 → \$37,000 44 in 100	\$6,951	\$36,000 → \$37,000 44 in 100	\$47,000	\$38,000	\$108,000 93 in 100	9	0	complete child-care price: national median price
KS	keeps 10¢	3	\$2,213	\$34,000 → \$35,000 45 in 100	\$10,044	\$80,000 → \$81,000 79 in 100	\$56,000	\$33,000	\$113,000 91 in 100	8	0	complete child-care subsidy added by HotGap

State	Keep rate	Cliffs on the road	Where the road collapses	Road's worst step	Largest one-step loss	Worst step	Danger zones, total width	The leap	Safe exit	Cliffs	Deferred	Figures
MS	keeps 15¢	4	\$1,861	\$34,000 → \$35,000 54 in 100	\$6,337	\$61,000 → \$62,000 85 in 100	\$38,000	\$12,000	\$113,000 95 in 100	7	0	complete child-care subsidy added by HotGap
MT	loses 60¢	4	\$14,381	\$40,000 → \$41,000 41 in 100	\$14,381	\$40,000 → \$41,000 41 in 100	\$60,000	\$54,000	\$112,000 92 in 100	5	1	complete
NC	loses 42¢	4	\$11,153	\$54,000 → \$55,000 70 in 100	\$11,153	\$54,000 → \$55,000 70 in 100	\$54,000	\$47,000	\$113,000 91 in 100	5	0	complete
ND	keeps 21¢	3	\$2,050	\$37,000 → \$38,000 37 in 100	\$10,554	\$81,000 → \$82,000 82 in 100	\$36,000	\$18,000	\$108,000 95 in 100	7	1	complete child-care subsidy added by HotGap
NE	loses 62¢	5	\$15,336	\$49,000 → \$50,000 43 in 100	\$15,336	\$49,000 → \$50,000 43 in 100	\$74,000	\$44,000	past the axis	9	0	complete
NH	keeps 14¢	3	\$2,612	\$37,000 → \$38,000 23 in 100	\$17,959	\$108,000 → \$109,000 70 in 100	\$53,000	\$27,000	\$135,000 75 in 100	5	1	complete child-care subsidy added by HotGap
NJ	loses 94¢	5	\$26,206	\$54,000 → \$55,000 56 in 100	\$26,206	\$54,000 → \$55,000 56 in 100	\$76,000	\$65,000	\$114,000 84 in 100	8	1	complete child-care subsidy added by HotGap
NM	keeps 30¢	0	none	none	none	none	none	none	none	0	0	complete child-care subsidy added by HotGap

State	Keep rate	Cliffs on the road	Where the road collapses	Road's worst step	Largest one-step loss	Worst step	Danger zones, total width	The leap	Safe exit	Cliffs	Deferred	Figures
WI	loses 105¢	7	\$25,833	\$54,000 → \$55,000 62 in 100	\$25,833	\$54,000 → \$55,000 62 in 100	\$86,000	\$76,000	\$116,000 91 in 100	8	2	complete child-care subsidy added by HotGap
WV	loses 28¢	4	\$8,203	\$50,000 → \$51,000 67 in 100	\$16,167	\$106,000 → \$107,000 89 in 100	\$64,000	\$30,000	\$132,000 94 in 100	6	0	complete
WY	loses 21¢	4	\$12,027	\$50,000 → \$51,000 56 in 100	\$14,448	\$106,000 → \$107,000 92 in 100	\$60,000	\$23,000	\$128,000 95 in 100	7	1	complete child-care subsidy added by HotGap

Every row keeps the number the model returned, including the rows it cannot complete, because a reporter needs to see what came back. Those rows are flagged in the last column and are not shaded on the map or placed in the ranking. Select a state on the map or in this table to read the corrections behind its numbers under the map; the arrow keys move between states and Enter selects.

How these numbers were made

- Every cell is one household shape run through [PolicyEngine](#), an open-source tax-and-benefit calculator, at 2026 rules, earnings varied in \$1,000 steps from \$0 past 400% of the poverty guideline for that household size, plus \$40,000 of room to recover.
- For 1 adult, 2 children (3 and 7) the axis runs from \$0 to \$150,000 (\$175,000 in Alaska, \$165,000 in Hawaii); a figure that runs past the axis runs past that.
- **The road out of poverty** is the earnings from the federal poverty guideline for this household's size to twice it — \$26,650 to \$53,300 for a family of three at 2026 rules, and Alaska and Hawaii on their own higher guidelines. It is federal on purpose, so every state's road is the same road and what differs is how the state's rules treat a family walking it. Its top carries one \$1,000 step of allowance, because a program limit sitting on the twice-poverty line lands in the step that starts at the first sampled point at or above it.

- **The keep rate** is what the household keeps of each extra dollar earned across that road: the change in net income divided by the change in pay. It is one minus the effective marginal tax rate, the measure the benefits-cliff literature reports, said in cents because that is how a person hears it. Below zero the family ends the climb poorer than it began.
- **The measures are two questions.** *On the road out of poverty* asks what happens to a family climbing from the poverty line to twice it — where the families this tool is for actually are. *Anywhere on the curve* asks where the tallest wall in the state stands, whatever pay it stands at; measured on this run that wall sits above the median family's earnings in 39 states of 50, which is why it is no longer the page's first answer.
- **Families earning less** puts a dollar figure where families are: of households like this one in that state, the share earning less than it, from Census survey data (ACS 2020–2024 5-year PUMS and ACS 2024 1-year PUMS) grown to 2026 dollars. It is cross-sectional — how many families already earn less — and never one family's chance of reaching that pay. A cell the survey cannot support is left empty rather than filled with a zero.
- The money line is **health-adjusted**: household net income minus what the household actually pays in health-insurance premiums, net of the marketplace subsidy. Deductibles and copays are not included.
- Each household is a typical renter in the state's most populous county — named under the map for the selected state — with HUD Fair Market Rent, Census county estimates, and the DOL National Database of Childcare Prices preschool price for that county, carried to 2026 dollars by the BLS Employment Cost Index. The study year behind the price, and whether a state or national median stood in for a county the database lacks, differ by state and are printed in the source line under the map.
- **Every figure is the modelled family**, not an average of real ones: a renter in the state's most populous county, with children in paid care where every parent works, claiming what the rules entitle them to. A real household with a different rent, a different care arrangement or a benefit it never applied for has a different curve.
- The CCDF child care subsidy is **on** for this run and off for a household's own lookup. Head Start and housing vouchers are off in both: they are rationed, and assuming a family holds one inflates its numbers.
- Cliffs deferred to a future renewal — Head Start's program-year carry-over, a child's 12 months of continuous Medicaid or CHIP eligibility, a parent's Transitional Medical Assistance — are counted in the *deferred* column and are lifted out of every other figure here. They are real losses; they do not land in the year of the raise.

- Where a state's figure needed a correction on top of PolicyEngine — a premium ladder applied locally, the child care subsidy added back into net income, a parent Medicaid limit taken from the state's handbook, a coverage-gap premium — it is listed under the map for the selected state, from the run's own coverage record, not from copy kept here.
- The download is the table's rows in the table's order, one per state, with these columns: state, state_name, archetype_id, archetype, biggest_one_step_loss, biggest_loss_at, biggest_loss_programs, danger_zone_width, leap, safe_exit, cliff_count, deferred_cliff_count, leap_is_lower_bound, no_cliff_found, comparable, figures, unmodeled_programs, corrections_applied, childcare_subsidy_footing, liheap_limit, liheap_served_share, county_name, county_fips, rent_vintage, county_vintage, childcare_price_vintage, policy_year, sweep_generated, model_label, model_endpoint, model_version, source, keep_rate_cents, road_lo, road_hi, road_cliff_count, road_worst_drop, road_worst_at, road_worst_programs, road_worst_position, biggest_loss_position, safe_exit_position, families_below_road_top. Empty dollar cells are a state with no cliff or a safe exit past the axis; the flags say which figures are floors or lower bounds.

What the model does not include

- Immigration status, assets, and household members aged 65 or over are not inputs.
- Alaska and Hawaii marketplace subsidies are computed upstream against the 48-state poverty guideline rather than their own higher ones ([reported to PolicyEngine](#)). HotGap does not correct this, so both states' premium-driven figures are understated.
- Energy assistance (LIHEAP) is in no figure on this page, except in Michigan, where it is paid as the Home Heating Credit and counted. It is a block grant, not an entitlement: in FY2024 the states served between 3% (Texas) and 85% (Michigan) of their income-eligible households, so a curve that assumed it would draw a benefit most eligible families never receive. Each state's block under the map says where it stops, what it pays there and the share served; the download carries the limit and the share.
- Nothing the model cannot compute would move this household's figures in any state, so no state is hatched for 1 adult, 2 children (3 and 7).

Hatched is not low. A program the model cannot compute in a state is missing from every figure for it, so its numbers are floors, not measurements. Do not write that those states are gentler; the only

honest claim is that this model cannot yet say. The flag is read from the run's own coverage record, not from a list kept here, so a state drops off it the day the engine starts modelling the program.

Past the axis is not a number. Where a state's *last* danger zone runs off the top of the axis rather than closing, the safe exit is unknown; the leap is a lower bound only when the *worst* zone is the one that runs off. The two can differ, so a state can show an exact leap and no safe exit. Those cells read *past the axis* here and must not be charted as a value.

Run of Sep 16, 2026 on policyengine-us 2.6.2. Licence: AGPL-3.0-only.
Estimates only — a caseworker decides real benefits.

Cite as: HotGap, *What a raise costs, state by state*, 2026 rules on PolicyEngine (policyengine-us 2.6.2), run of Sep 16, 2026, <http://localhost:8807/places?household=single-2&measure=keepRate&sort=state>.